Western Digital (WDC) Stock Pitch

BUY | Target Price: $475 | Implied Upside: +18% | AI Infrastructure Storage Exposure

BUY Rating	**$401** Current Price	**$475** Target Price	**+18%** Upside

Executive Summary

Western Digital is positioned as a clean post-spin exposure to AI-driven cloud storage demand. The investment case is based on hyperscaler nearline HDD growth, ASP uplift from high-capacity UltraSMR drives and operating leverage on a fixed-cost manufacturing base. The report values WDC at a $475 target price, implying around 18% upside.

This stock pitch is prepared for academic and interview-preparation purposes only. It is not investment advice.

Investment Thesis

Pillar	Rationale
1. AI storage bottleneck	Each AI cluster requires large warm-tier storage capacity. WDC benefits directly from re-accelerating cloud HDD demand.
2. Post-spin clarity	Following the NAND separation, WDC presents a cleaner HDD-focused equity story with better investor readability.
3. Margin expansion	UltraSMR capacity and fixed-cost operating leverage support EBITDA margin expansion toward 30%.
4. Valuation support	DCF and peer-relative valuation support a $475 target price against $401 current price.

Business Overview and Drivers

WDC is described in the report as a post-spin pure-play HDD manufacturer with strong exposure to cloud and enterprise tier-2 storage workloads. Key customers include AWS, Microsoft Azure, Google Cloud, Meta, Dell and HPE.

Revenue Driver	Relevance
Cloud HDD	Around 89% of pro-forma revenue; hyperscaler nearline demand inflecting.
26TB / 32TB UltraSMR	Mid-teens ASP premium and high-capacity drive adoption.
Operating leverage	Fixed manufacturing base creates margin expansion as volumes recover.

Key Financial Assumptions

Metric	Base Case
FY26E Revenue Growth	+28%
FY26E EBITDA Margin	30%
FY26E FCF Margin	18%
ROIC	19%
WACC	9.9%
Terminal Growth	2.5%

Valuation Summary

Method	Output
DCF	Implied price around $475 per share based on FY26-FY30 forecast and terminal value framework.
Trading Comparables	WDC trades at 9.5x FY26E EV/EBITDA, below coverage average of 13.3x.
Target Price Methodology	Report target price: $475; supported by DCF and peer-relative triangulation.

Risk / Reward and Recommendation

Bull Case	Base Case	Bear Case
Hyperscaler storage orders accelerate; margin re-rating toward STX-like levels.	WDC delivers +28% FY26E revenue growth, 30% EBITDA margin and valuation closes part of the peer discount.	Hyperscaler digestion phase, pricing reversal or share loss to QLC NAND in nearline workloads.

Principal Risks

- Cyclical pricing reversal in HDD markets
- Hyperscaler capex pause or order digestion
- NAND / SSD displacement in nearline workloads
- Customer concentration across major cloud providers

Recommendation

BUY. WDC offers a strong risk/reward profile within the AI infrastructure value chain, with direct exposure to cloud storage demand and a valuation discount to higher-growth AI infrastructure peers. The recommended target price is $475, implying approximately +18% upside from the current price used in the report.

Sources: AI Infrastructure Equity Research Report, Nell Marzouk, EM Normandie Business School, May 2026; report appendix citing Bloomberg Terminal, company filings, sell-side research, hyperscaler capex releases, Damodaran ERP, TrendForce, Gartner, IDC, MarketWatch and S&P; Capital IQ.